

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

121.6M ETH

Total Supply

\$2,243

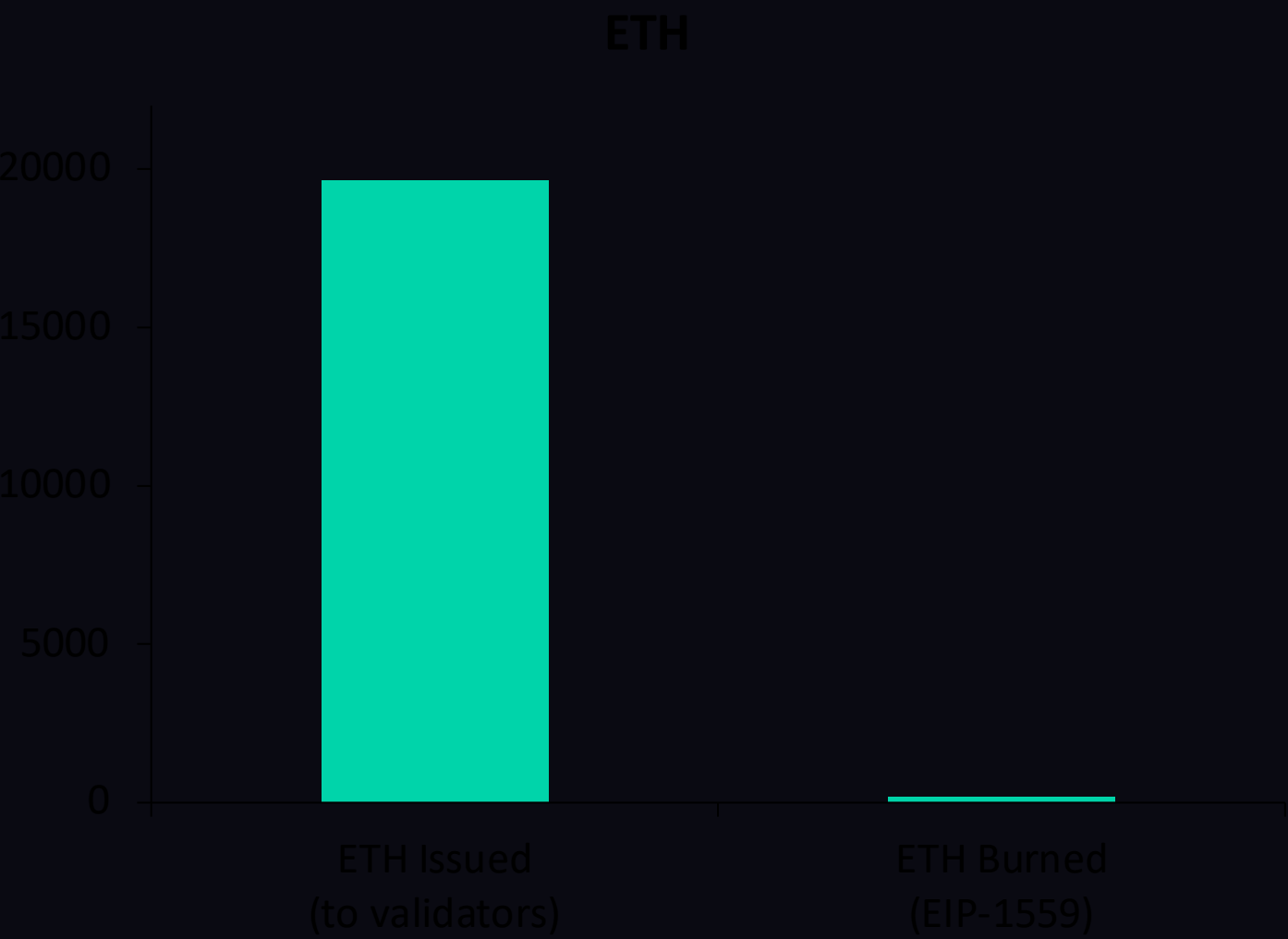
ETH Price

0.1 Gwei

Base Gas Fee

ETH Supply Growing at +0.83%/Year

7-Day Supply Change: +19,445.89 ETH Net — Issuance Offset Ratio Just 0.01x



Current Supply

121,603,980 ETH

7-Day Net Change

+19,445.89 ETH

Annualized Growth

+0.83% / Year

Offset Ratio

0.01x (~1% burned)

Historical eras: 5 ETH/block → 3 → 2 → post-merge near-zero PoW issuance

Base Gas at Historic Lows: 0.1 Gwei Average

Low gas prices suppress EIP-1559 burn — current activity is far below the 22 Gwei equilibrium needed for deflation



▲ 22 Gwei equilibrium assumption (long-term projection target) — far above current levels

Min Gas

0.0 Gwei

Avg Gas

0.1 Gwei

Max Gas

1.3 Gwei

Blob Gas Avg

7.14M wei

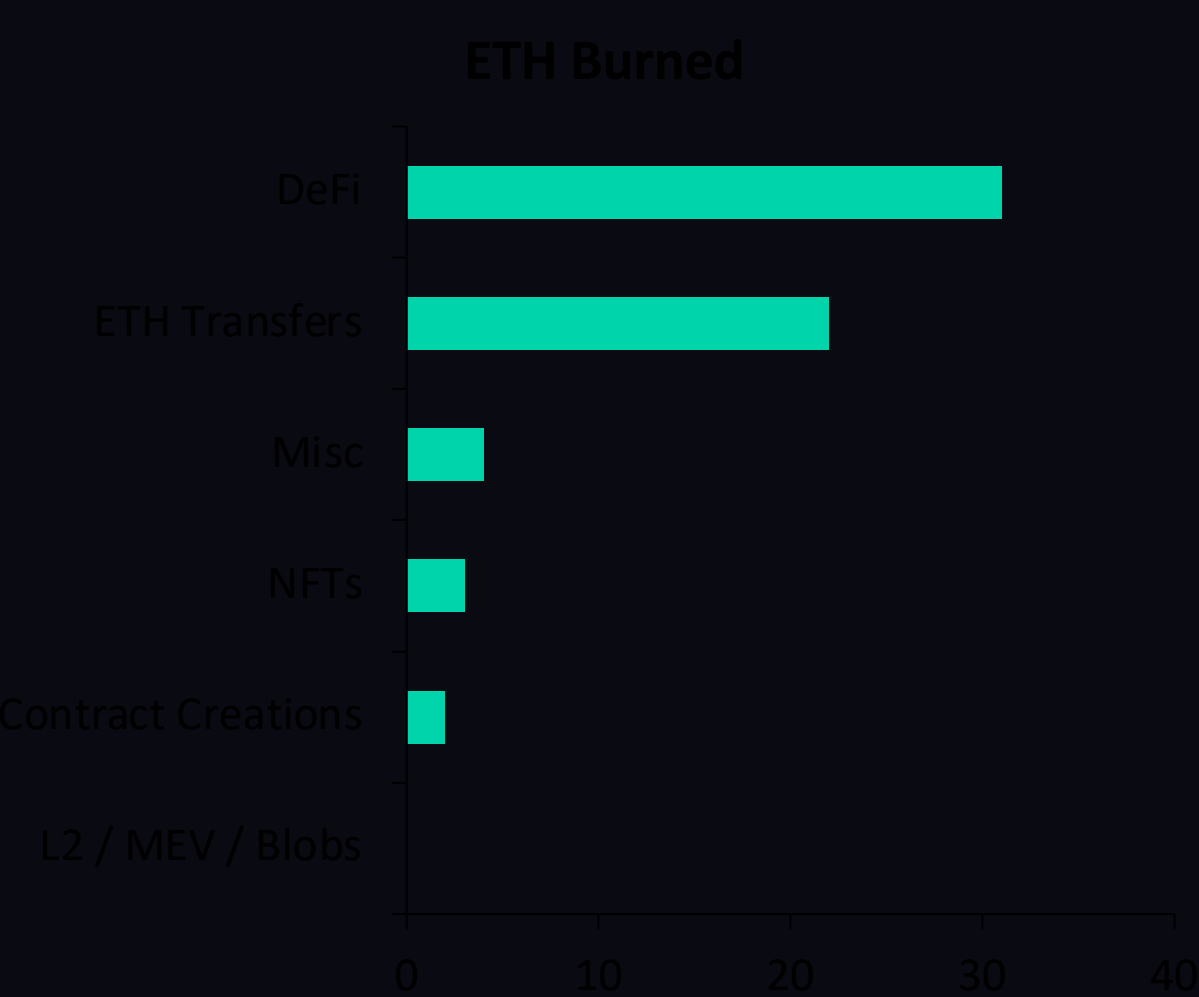
Blob Fee Burn

0.15 ETH
(\$319 / 7 days)

Low gas = minimal burn = temporary supply inflation. Deflation requires sustained on-chain activity.

DeFi & ETH Transfers Account for 85% of Weekly Fee Burn

7-Day Burn by Category | Total: ~192 ETH destroyed via EIP-1559



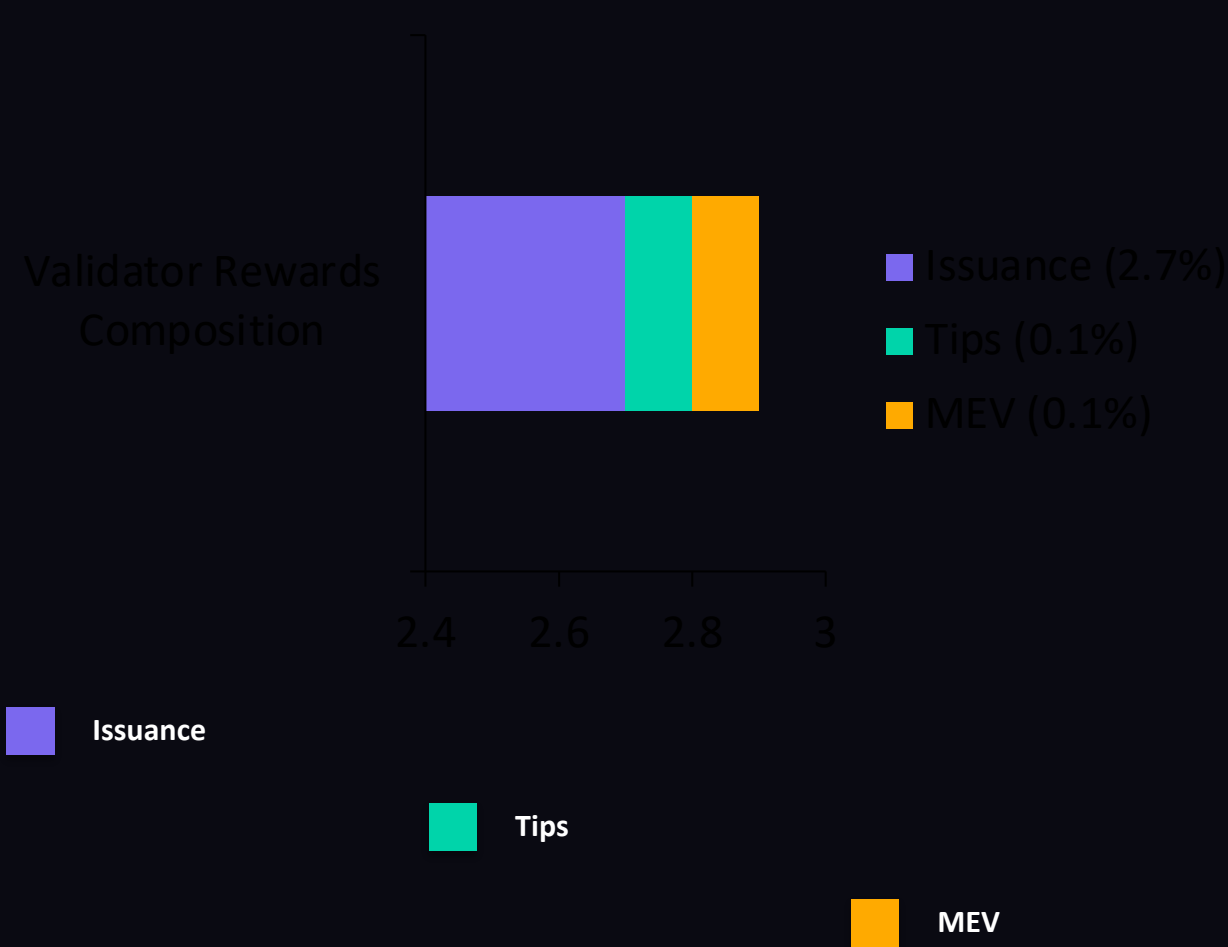
Top Burn Leaderboard (7-Day)

ETH Transfers	21.74 ETH
Tether USDT	13.55 ETH
DeFi (aggregate)	31 ETH
NFTs (aggregate)	3 ETH
Contract Creations	2 ETH
L2/MEV/Blobs	0 ETH

Note: Blocks 24,850,874–24,850,879 burned 0.00–0.01 ETH each, reflecting ultra-low fee environment

38.9M ETH Staked at 2.7% Issuance Rewards

Validator reward breakdown: issuance dominates at 2.7% APR, with tips and MEV near zero



Scarcity Engine — Supply Lock Dynamics

ETH Staked

38.9M ETH

~32% of total supply

Supply Locked in Contracts

9.1M ETH

locked in staking contracts

Avg Stake Duration

10.7 Years

effective supply removal

PoS Issuance Rate

~2,800 ETH/day

at current validator count

Total Validators

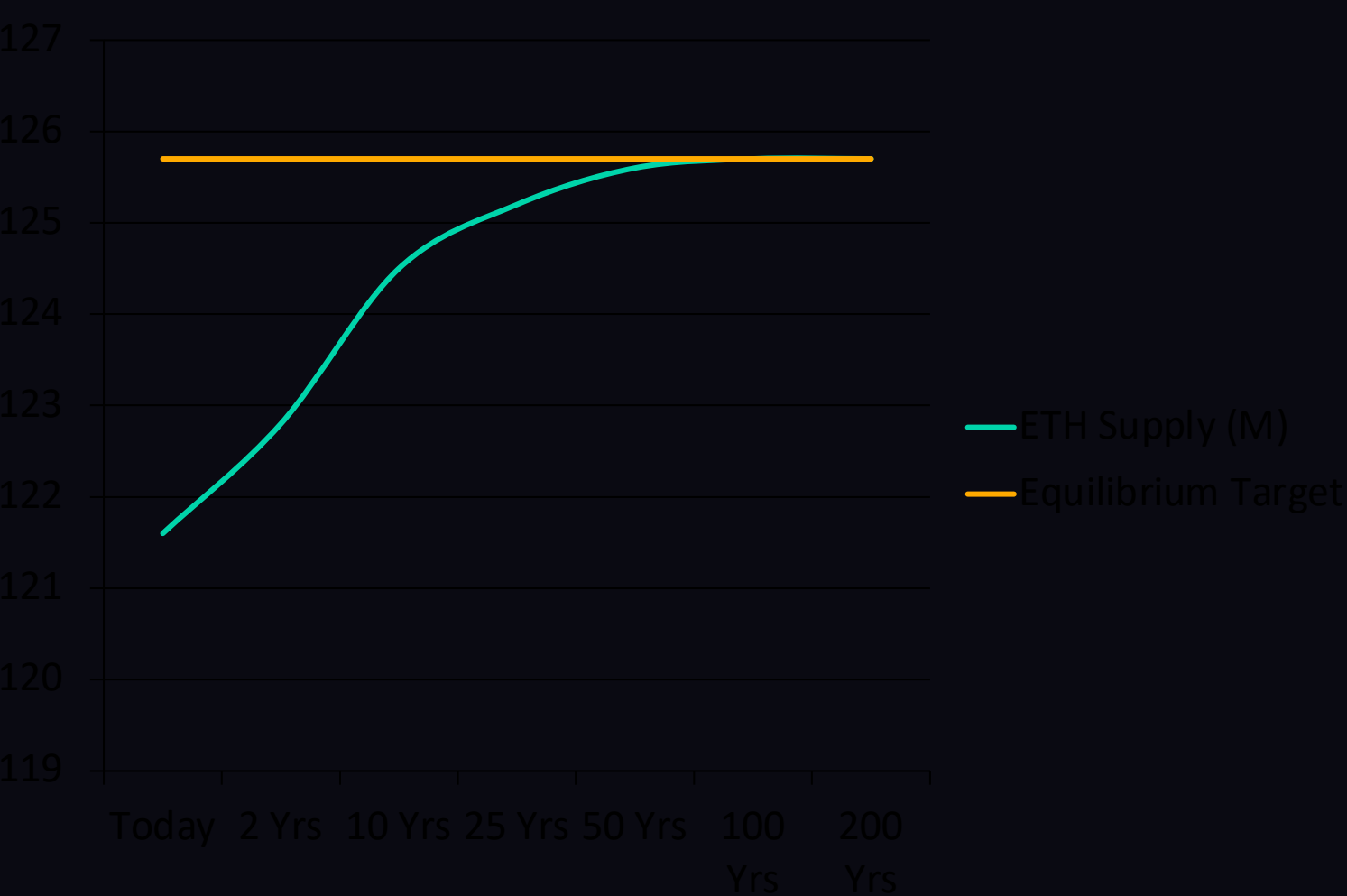
~1,200,000+

globally distributed

Validators earn ~2.9% total APR — almost entirely from protocol issuance, not network fees

Long-Term Equilibrium Projected at 125.7M ETH

200-year supply trajectory converging to equilibrium — 39M ETH staked, 22 Gwei base gas assumption

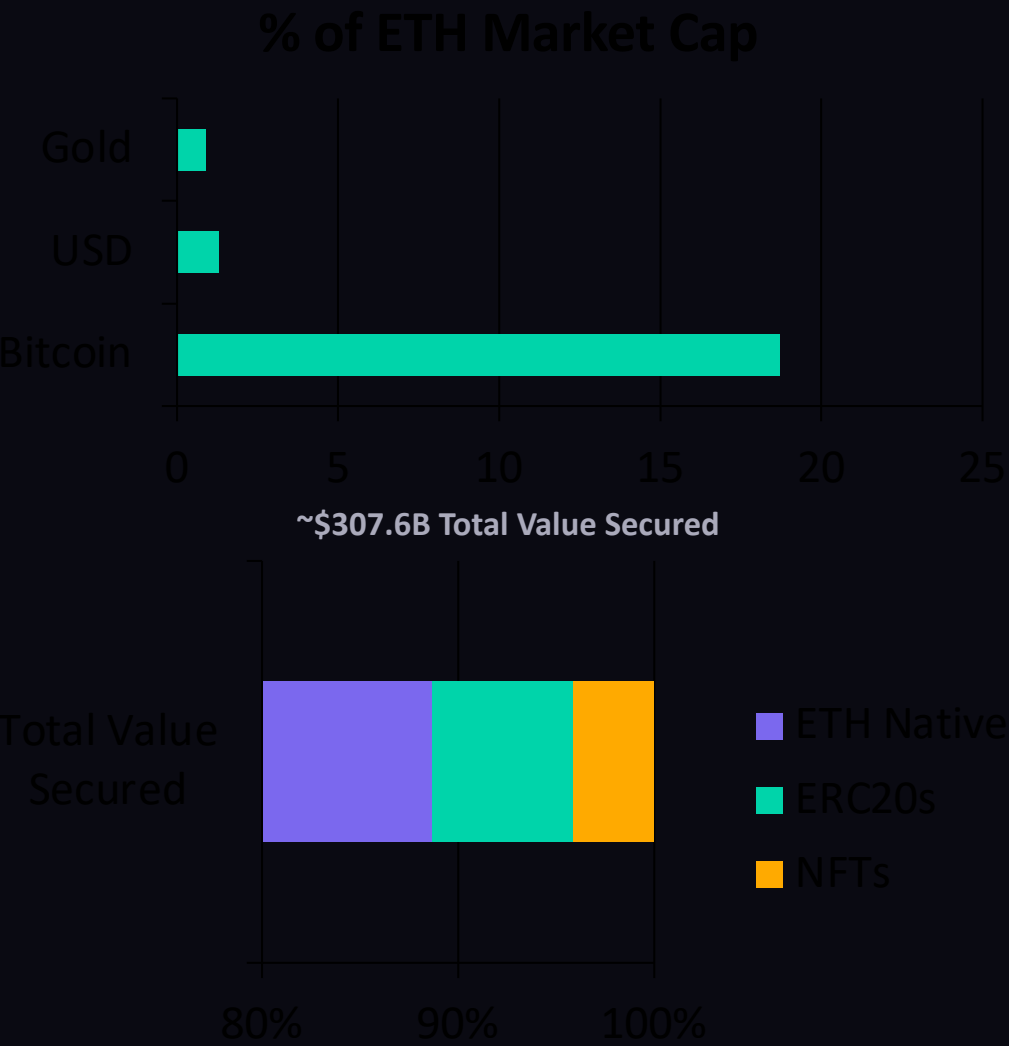


Historical Supply Eras	
Era Transition Points	
Genesis	~2015
Byzantium	~2017
Constantinople	~2019
London + EIP-1559	~2020
Merge (Sep 2022)	~2022
Post-Merge	~2022
Current	~2023

Key: 39M staked | 22 Gwei base gas | ~2,800 ETH/day PoS issuance | ~2,200 ETH/day burn (normalized) | ~1,037K ETH/year equilibrium

ETH at 18.7% of Bitcoin's Market Cap

Total Value Secured breakdown and flipping progress across monetary assets



~\$307B+ TVS demonstrates growing but still early-stage monetary premium for ETH

TVS Breakdown		
ETH (native)	\$272.76B	88.6%
ERC20 Tokens	\$22.21B	7.2%
NFTs	\$12.66B	4.1%
Total TVS	\$307.63B	100%
Top ERC20s		Top NFTs
• Dai \$4.41B		• CryptoPunks \$2.13B
• SHIB \$3.51B		• BAYC \$0.68B
• Cronos \$2.97B		• ENS \$0.63B
• Tether Gold \$2.65B		• Pudgy Penguins \$0.51B

Key Takeaways

Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable

1

ETH is currently mildly inflationary at +0.83%/yr

Historically low gas (avg 0.1 Gwei) means burns offset only ~1% of issuance. The mechanism works — it just needs activity.

2

The burn mechanism works but requires sustained on-chain activity

At 22 Gwei equilibrium, ETH becomes deflationary. Today's low-gas environment is a temporary headwind, not a structural failure.

3

38.9M ETH staked (~32%) creates a significant supply lock

Validators earning ~2.7% APR primarily from protocol issuance — not tips or MEV — represents a durable scarcity engine.

4

Long-term equilibrium at 125.7M ETH is structurally sound

With 39M staked and ~22 Gwei sustained gas, issuance/burn balance at ~1,037K ETH/year. The 200-year trajectory is well-defined.

5

\$307B+ TVS & 18.7% of BTC market cap = growing monetary premium

Ethereum secures more value than any blockchain except Bitcoin. The flipping is a marathon, not a sprint — but progress is real.